

A pre-feasibility study for the establishment of a multi-purposes Hall



2017



List of contents

1 .EXECUTIVE SUMMARY	ERROR! BOOKMARK NOT DEFINED.
KEY HIGHLIGHT OF JORDAN	5
JORDAN INVESTMENT COMMISSION AIMS TO:.....	10
2.MARKET ANALYSIS	ERROR! BOOKMARK NOT DEFINED.
Project description	12
Project objectives	12
Proposed service	12
Targeted segments.....	12
Market size	12
The analysis of competitors	13
Capacity	13
Price analysis and pricing policy	14
Market share	15
Projected revenues	16
3. TECHNICAL ANALYSIS	17
Human resources	17
The following shows the job descriptions of the manpower of the project:.....	17
Site analysis.....	18
Technical requirements analysis.....	18
Land and construction works	18
Machinery and equipments	18
Furniture	19
Legal requirements	19
.4 FINANCIAL ANALYSIS	20
Assumptions.....	20
Capital Expenditures	22
Operating Expenses	26
General and Administrative Expenses	27
Marketing expenses	27
Human Resources	28
Depreciations	29
Loan	30
Income Statement	31
Expected Cashflows Statement	33
Expected Balance Sheet.....	35
Feasibility Indicators	37
Sensitivity Analysis	38

List of tables

Table 1 Annual Growth Rates Assumptions	21
Table 2 Expenses Assumptions	21
Table 3 Income Tax Assumptions	21
Table4 : Weighted Average Cost of Capital	22
Table 5 Land Capital Expenditure	22
Table 6 Construction Work Capital Expenditure	23
Table 7 machinery and equipments Work Capital Expenditure	23
Table 8 Furniture and furnishings Work Capital Expenditure	23
Table : 9 Pre Operating Expenses	23
Table10 Working Capital	24
Table 11 Expenses Summary	24
Table 12 Sources of Funding	25
Table 13 Operating Expenses	26
Table 14 General and Administrative Expenses	27
Table 15 Marketing Expenses	27
Table : 16 Expected Annual Salaries and Wges (2018-2027)	28
Table 17 Capex and Depreciation Expenses	29
Table 18 Depreciations and Additions on Construction Works	29
Table : 19 Loan Details	30
Table 20 Income Statement	31
table 21 Expected cash flows	33
Table 22 Expected Balance Sheet	35
Table 23 Free Net Cash flows Table	37
Table 24 Payback Period	37
Table 25 Financial Analysis Results	38
Table 26 Sensitivity Analysis	38

List of Figures

Figure 1 Population of Jordan	5
Figure2 Sectors Contribution to Jordan's Economy	7

1. Exclusive Summary

The idea of the project is to establish a hall luxury for all occasions at reasonable prices which will meet the requirements of the majority of governorate residents.

The idea was presented due to lack of high-level halls in Jerash Governorate, taking into account that the project is one of the most profitable projects for investors.

Based on the proposed market share and prices which will be presented later on in details which was considered the proposed project, the expected revenues amounted to 300,672 JD during the first year of the project to be gradually increase to reach 1,277,338 JD during the tenth year. The internal rate of return will be 22.7% in addition to creating 21 jobs the governorate's residents.

Table1 economic indicators

Indicator	Value
Total Investment Cost (Jordan Dinars)	1,730,103
Internal Rate of Return (IRR)	22.7%
Pay-Back Period (Years)	6
Net Present Value (Jordan Dinars)	2,437,418
jobs opportunities that provided by the	21
Expectations annual revenue (for 10 years)	7,760,448
Total operating costs (for 10 years)	2,817,043
Gross profit (for 10 years)	2,478,420

Key Highlight of Jordan

Jordan Hashemite Kingdom area is 89342 Kilometers with a population exceed 9.8 Millions distributed among 12 Governorates.

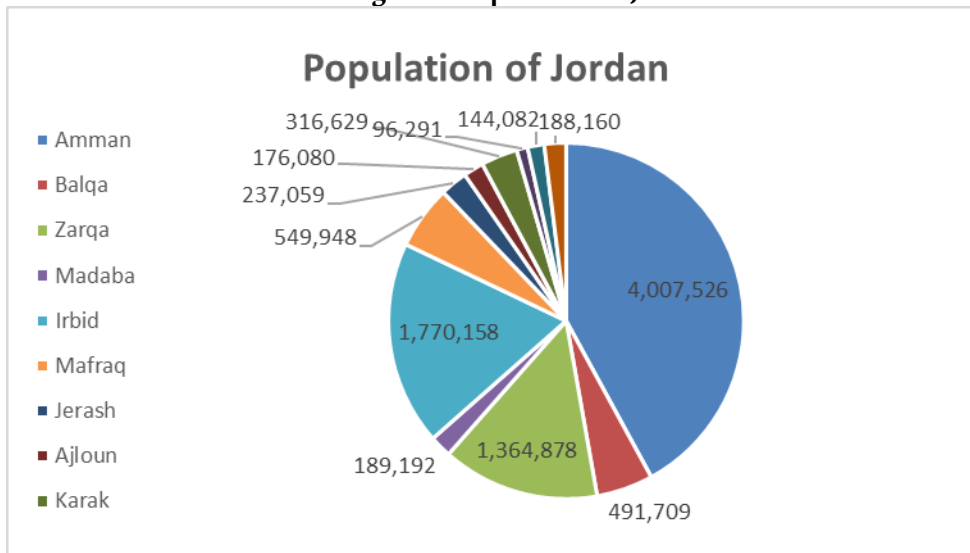
Jordan is bounded by Saudi Arabia, Iraq, Syria and Palestine from the South, East, North and west respectively. Jordan climate is mostly arid desert with rainy season between November to April Months.

Jordan is a free market economy, ranked as the fifth freest economy in the MENA region in the Index of Economic Freedom. Its free market economy enjoys strong partnerships amongst its neighboring country as well as Europe and the USA. Jordan is a signatory of several bilateral and multilateral trade agreements such as (Free Trade Agreement with the US and the EU, a Free Trade Agreement with the EFTA states, an FTA with Singapore, A member of the Greater Arab Free Trade Agreement (GAFTA) and a signatory of the Aghadir Agreement. Looking at the range of countries these agreements cover and facilitate trade between, one is confident to say that Jordan has business gateways and partnerships across the globe.

Population Overview

Based on the latest surveys done by Department of Statistics (DOS) in 2017, total number of population has reached around 9.814.995 with an increase rate of 2.88% from 2016 year, figure below summarizes the population distribution among the kingdom governorates.

Figure 1 Population of Jordan



Department of Statistics (DOS), 2015

Moreover, and based on the latest survey conducted by (DOS) which related to population nationality distribution over the governorates, it was found that total Non-Jordanian residents constitutes around 30% of the total population. Half of these are Syrians (1.3 Million) concentrated mainly in Amman Capital (436 Thousand) then Irbid (343 Thousand), Mafraq at 208 Thousand and Zarqa at 175 Thousand.

Jordan prides itself in its youthful population with 35% of ages below 15 years old and only 4% with ages above 65 years old. Table below summarizes population distribution of Jordanians according to Age Group:

Table2 Population Distribution according to Age Group

Age Group	Population %	Males	Females
0-14 Years	%35.04	%19.2	%18.2
15-64 Years	%61.02	%30.7	%28.6
More than 65 Years	%3.94	%1.6	%1.6

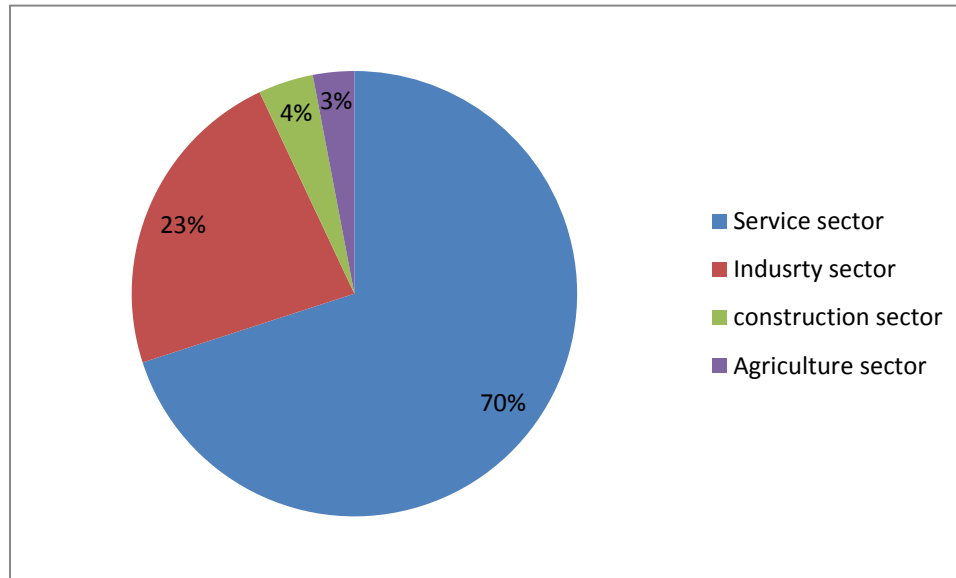
Department of Statistics (DOS), 2015.

Overview of Jordan Economy

Classified as an upper middle economy by the World Bank and as a country of High Human Development by the UNDP, Jordan is an important financial power in the Middle East. Its small market witnessed growth in the last two decades since King Abdullah II accessed the throne. Jordan's GNI per capita has increased in the last four years due to the basket of economic reforms that were enacted in the recent decade such as (the new Income Tax Law, Public Private Partnership Law and Investment Law). These laws aim to encourage the participation of the private sector in the Kingdom's economic development and provide an enabling legislative environment for current and new investment opportunities.

The Jordanian economy is overwhelmingly services oriented and its contribution in the GDP is 68.1%. The contribution of the industrial sector is 22.4%, the construction sector is 4.2% and the agricultural sector is 2.9%. These contributions are aimed to increase to (27.4%), (5.8%) and (3.4%) respectively and that of the service sector is due to decrease according to Jordan 2025 vision.

Figure2 Sectors Contribution to Jordan's Economy



Jordan's exports include variety of textiles, potassium, phosphates, fertilizers, vegetables and pharmaceutical products. While it's main imports are crude and refined petroleum. Distinguished by its strategic location, on the crossroads between Asia, Africa and Europe with strong connections to the Levant and the GCC, Jordan has a regional market of interest that represents US\$3.8 trillion market and comprising 380 million consumers.

Jordan infrastructure ranks comparatively well (38th out of 148 comparable economies), with an extensive 8000 KM road network connecting Jordan domestically and externally The new Queen Alia International Airport and the Port of Aqaba are the major gateways to the international market. In addition to some mega projects such as the Red- Dead Sea Canal and the national railway network that will be developed to position Jordan as a hub for regional commerce.

Jordan banking system is quite sophisticated, resilient and in compliance with international standards, making it very attractive and trustworthy to investors. This is reflected in the fact that 50% of equity in licensed banks in Jordan is held by non-Jordanians, and non residents' deposits in Jordanian banks witnessed a steady growth of 19.2%.

Moreover, realizing the value of MSMEs to drive economic growth, the government has developed the national Strategy for the encouragement of entrepreneurship and the development of micro small and

medium sized enterprises for 2015-2019. This shows the commitment of the Jordan government to enhance the private sector development and leveraging the country's strong human capital.

Jordan prides itself in its youthful population. It's the country most valuable capital. A tech savvy well educated and trained workforce attracts a lot of investors to Jordan. More than 20.4% of Jordan's GDP is dedicated to the education and capacity building for the labor force, this has resulted in securing a 91% literacy rate and enabled Jordanians to be among most hired and qualified middle-eastern workforce.

Such solid, diverse and resilient characteristics of the Jordanian economy and investment scene position Jordan as a competitive investment destination.

Major Economic Indicators

- **GDP Growth**

The Jordanian economy slowed and reached 2.4 percent in 2015 compared to growth rate of 3.1 in 2014 and similar to MENA growth rates.

The growth also slowed for trade, restaurants and hotels; manufacturing; transport; and electricity and water. Meanwhile, finance, insurance, and business services advanced at a faster pace.

- **Inflation rate**

Inflation rate decreased to 0.9 in 2015 after 2% decline in the previous year. Inflation Rate in Jordan averaged 3.1 percent from 2011 until 2015.

- **Unemployment**

The unemployment rate in Jordan was recorded at 13 percent in 2015, comparing to 11.9 percent a year earlier. This increase due to the current instability in the labor market structure as well as high competition from low cost foreign labors especially from Syria.

- **External Sector**

A number of risks manifested in 2015, the closure of land trade routes with Syria and Iraq and the deepening instability in the region adversely impacted many external sector indicators such as trade, tourism and direct Investment.

Moreover, loans disbursements increased by JD 545.3 million, due to the use of the International and Arab Monetary Funds (IMF and AMF) credit facilities. As an outcome of these developments, the overall balance of the balance of payments registered a surplus of JD 328.7 million in 2015, compared with a surplus of JD 1,550.7 million in 2014.

Further, net international investment position (IIP) witnessed an increase in the Kingdom's net obligations to abroad; to reach JD 24,357.5 million, compared to a net obligation of JD 22,578.8 million at the end of 2014 as a result of the increase in the stock of external financial assets and liabilities of all resident economic sectors to reach JD 18,657.9 million and JD 43,015.5 million; respectively.

External Debt in Jordan increased to 9390.50 JOD Million in 2015 from 8030.10 JOD Million in 2014. External Debt in Jordan averaged 5433.67 JOD Million from 1988 until 2015, reaching an all time high of 9390.50 JOD Million in 2015 and a record low of 3640.20 JOD Million in 2008.

Investment Climate in Jordan

Investment in Jordan is considered as one of the vital sources to boost the economy considering that Jordan's economy is among the smallest in the Middle East, with insufficient supplies of water, oil, and other natural resources, underlying the government's heavy reliance on foreign assistance.

The country's location, supported by myriad free trade agreements (FTAs) offering access to 1.5bn consumers, enables the kingdom to be a strategic trade route to many of its neighboring countries and regions.

Jordan aspires to create a competitive investment destination capitalizing on its many advantages mentioned above. The government focused its efforts to implement significant advances in structural and legal reform. These efforts are represented in the new Investment Law of 2014, the tax law, in addition to other endeavors related to providing greater access to credit for MSMEs, and by providing greater investment incentives to specific priority sectors identified by the new Investment law and the Jordan 2025 vision.

furthermore, in it endeavor to enhance the business environment, several geographically industrial states were created across the kingdom. These range in type to include (industrial estates, free zones and special economic zones). Under the new Investment Law, these zones are given a number of incentives that include a tax rate of 0% on exports, sales tax, import duties, social service tax, dividends tax and a 5% income tax from all economic and manufacturing activities undertaken in the development zones. As for the investments in Free Zones, they enjoy Exemptions from customs duties, income tax exemptions and exemptions from land and building taxes among others. Both development and free zones also enjoy facilitations regarding visa and residency permits for investors and workers in addition to Repatriation of

capital and profits in a convertible currency. Such estates have succeeded in attracting relatively large amounts of FDI to Jordan.

Key National Investment Priorities:

Jordan Investment commission worked on taking a leading role in the application of government policies to promote and attract domestic and foreign investments and create an investment environment that stimulates economic performance through investment promotion strategy launched in 2016

Jordan investment commission aims to:

- Regulating the special provisions governing Development Zones and Free Zones in the Kingdom and developing them placing them in service of the national economy as well as monitoring their functioning.
- Developing plan and programs to stimulate domestic and foreign investments.
- Establishing trade centers and organizing exhibitions as well as opening markets and organizing trade missions in order to promote national products, in addition to marketing and development of national exports and encouraging investment.
- Taking appropriate decisions related to private or public institutions to improve Investors' confidence in Jordan's investment environment.

Investment Climate in Jarash:

Under the provisions of fifth article of the investment law No. 30 of 2014 and Income tax regulations in the less developed areas, the reduction of the income tax system on the investment projects are clarified in the table below:

Table3 Income Tax and Exemptions

Within the Development Zone or Free Zone	Less Developed Areas
Income Tax is 5%	Income Tax is 20% As per Investment Law categorization, Irbid is classified in Class (C) where investors enjoys 60% exemption on Income tax for 20 years, where net income tax after reduction should not be less than 5%.

2. Market Analysis

Project description

The idea of the project is summarized by establishing a multi-purpose hall equipped with luxury occasions with a suitable prices for the residents governorate. It was presented due to the lack of high-level halls in Jerash Governorate, taking into account that the project will be very profitable for investors.

The project consists of two halls divided into the following:

The first Hall: a big hall for wedding events (weddings - Marriage contracts - henna - Aljahat - solace) for women with a capacity of 500 people.

The second Hall: It is a smaller hall than the first hall reserved for men on wedding occasions and it can be used for meetings and courses with a capacity of 300 people. There is also a parking area serving both halls.

Project objectives

The proposed project aims to:

- Achieve a profitable return to owner of the project.
- Providing a hall for weddings and social events serving the governorate and the residents.
- Provide job opportunities for the residents of the governorate.

Proposed service

The project will provide two halls with high quality of modern and contemporary decorations, to serve the residents of the governorate and other governorates in various events (weddings, solace, meetings, and seminars).

Targeted segments

The proposed project targets the residents of Jerash Governorate in general, in addition to the neighboring governorates such as Ajloun, which is about 20 km away from Jarash governorate, and has only two halls of low quality.

Market size

The population of Jerash Governorate is 237,059 inhabitants, according to the latest survey carried out by the Department of Statistics (2015). The youth percentage is 56.3%, in addition, seminars and cultural meetings is carried out to improve their skills. The population of Ajloun governorate is 176,080, and it's located about 20 km away from Jerash Governorate (Department of Statistics, 2015).

The analysis of competitors

There are five halls in Jarash Governorate:

- Hammourabi hall for weddings and events, where there are two halls; a small hall with a capacity of 200 person and a larger hall with a capacity of 300 person.
- Hayat Jerash Hall for weddings and events, with two halls with a capacity of 600 persons each.
- Al Basha Hall for weddings and events, which accommodates up to 350 person.
- AlZoubi Hall for weddings and events, which accommodates up to 300 person.

Capacity

Table 4 Income Tax and Exemptions

Capacity	
Building space	1500
Halls capacity	800
Number of bookings available during the day	3
Number of bookings available during the year	1080

The capacity of the two halls is about 800. If we assume that the actual occupancy rate is 10% in 2018, A total of 108 events will be hold per year.

Price analysis and pricing policy

Prices are based on the average prices of competing halls located in the governorate. Prices considered:

- Cake and juice with a cost (4.0) dinars / person.
- Snacks with a cost (7.0) dinars / person.
- Buffet costs (10.0) dinars / person.

Average prices increase were calculated based on the market study and the competitors. AS a resulted that the prices are proportional to the increase in expenses is more or less is close to the inflation rate.

The following table shows the expected price of the project:

Table 5 Expected prices during the period 2018-2027

	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Cake and juice/JD	4.00	4.00	5.00	5.00	6.00	6.00	6.50	6.50	7.00	7.00
Snacks/JD	7.00	7.00	8.00	8.00	8.00	8.00	8.50	8.50	9.00	9.00
Buffet/JD	10.00	10.00	13.00	13.00	13.00	13.00	13.50	13.50	14.00	14.00

Market share

The expected market share of the project has been calculated based on the project's capacity of 800 person. The annual occupancy rate of the proposed project has been estimated as follows:

Based to the assumption that the rate of booking per day is 3 and the number of working days in the year is 360 days, the number of events and reservations per year is 1080, the actual reservation rate is 10% so the number of actual events per year is 108, and the attendance rate is 60%. Based on the above the market share of the project will be as follow:

$(800 \text{ person} * 60\%) * 108 \text{ event/year} = 51,840 \text{ person.}$

The following table shows the occupancy rates:

Table6 Expected occupancy

	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Occupancy rate	%10	%12	%14	%16	%18	%20	%22	%24	%26	%28

Projected revenues

Projected annual revenues of the project

Taking into consideration the expected occupancy rate of the project and determining the annual rate of hall reservation, the following table shows the projected revenues of the project over the years (2018–2027)

Table 7 revenues analysis

	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Hall occupancy	60%	60%	60%	60%	60%	60%	60%	60%	60%	60%
The rate of Cake and juice	60%	60%	60%	60%	60%	60%	60%	60%	60%	60%
The rate of Snacks	20%	20%	20%	20%	20%	20%	20%	20%	20%	20%
Buffet rate	20%	20%	20%	20%	20%	20%	20%	20%	20%	20%
Cake and juice revenues	124416	149299	217728	248832	335923	373248	444787	485222	566093	609638
Snacks revenues	72576	87091	116122	132710	149299	165888	193882	211507	242611	261274
Buffet revenues	103680	124416	188698	215654	242611	269568	307930	335923	377395	406426
Total	300672	360806	522547	597197	727834	808704	946598	1032653	1186099	1277338

3. Technical analysis

The technical study aims to set up the technical specifications of the project, based on the results of the market study, in addition to evaluating and reviewing investment and operational costs. The technical study of the project includes an explanation and general description of the aspects of the project along with its components, in addition to the constructional and operational costs of the project.

Human resources

This project needs a hall manager, a reservation officer, a chef, a chef assistant, cleaning labours and a lounge staff. The following table shows the required labor for the project:

Table 8 the required labor for the project

Job title	No.
Hall manager	1
Reservations officer	1
Chef	1
Chef Assistant	2
Waiter	10
Cleaning labours	6
Total	21

The following shows the job descriptions of the manpower of the project:

- **Hall Manager:** proposing the general policy, preparing plans, supervising the staff, developing the procedures and ensuring public safety and health.
- **Reservations officer:** responsible for the hall reservation system, arranging appointments and coordination among the people.
- **Chef:** in charge of all cooking and preparation of food, stuff, kitchen labours.
- **Chef Assistant:** Perform a variety of tasks such as preparing the basic ingredients of soups, salads, meat, vegetables
- **Waiter:** responsible of serving guests and the distribution of snacks, drinks and desserts.
- **Cleaners:** cleaning and polishing and disinfection required for the halls, bathrooms, doorways, walls and stairs clear.

Site analysis

The location of the project should be in an area with a high population, to be closed to the largest number of people and is likely to take place in the AlShawad area.

Technical requirements analysis

Land and construction works

The project will be constructed on an area of 5000 m². The following table shows the required land:

Table9 the required land for the project

Land	Area (m ²)
The required land	5,000

The required construction works for the project are represented as follows:

Table 10 the required construction work

Construction Work	Area sq.m
Building works	1,500
Building design	1,500
digging works	1,500
Paving the ground	1,000
Soil examination	1

Machinery and equipments

The following table provides the machinery and equipment needed for the project:

Table 11 Machinery and equipments

Machinery and equipments	Quantity
Fire fighting equipment	4
Central air conditioner	1
Kitchen	1
Sound system	2

Furniture

Needs of furniture and furnishings:

Table 12 the required furniture for the project

Furniture	Quantity
Tables	100
chairs	800
Tables and chairs accessories	900
Snacks and drinks accessories	10
Carpets	7

Legal requirements

- A title deed is attached upon submission of the application.
- An organizational design attached upon submission of the application.
- Valid licence attached when submitting the application.
- Registration in the Ministry of Industry and Trade and submitted upon final approval.

4. Financial Analysis

The Financial Part illustrates all the assumptions which were used when we have developed the study including project expenses related to capital expenditures, operating expenses (Fixed and Variable costs) followed by illustrating project revenues.

Assumptions

Calculation Assumptions:

- The weighted average cost of capital used in the study is 11.44% as it was calculated considering risk free and debt Interest rates as well as Market risk premiums to consider alternative opportunity costs for investor.
- Income tax on the net project income is 8 % during the life time of the project.
- Project working capital has been estimated and added to project cash outflows at the beginning of the project and annual increase in working capital has been also estimated and added to the operating expenses then net working capital has been added to total cash inflows at the end of project lifetime.

The time span for the financial study is 10 years starting from 2018, where annual increase rates have been estimated as per the tables below:

Assumptions

Table 13 General Assumptions

General Information	
All Financial Numbers (Currency)	Jordan Dinars
Financial Study Time Span (Years)	10
Expected Project First Operating Year	2018
Last Year in the Financial Study	2027

Table 14 Currency Exchange Rates

Exchange Rates	Jordan Dinars
American Dollar	0.708
Euro	0.760

Table 1 Annual Growth Rates Assumptions

Annual Growth Rates	Average
Annual Population Growth Rate	2.20%
Annual Sales Price Increase Rate	3.00%
Annual Expenses Increase Rate	3.00%
Annual Increase Rate in Employees Salaries	4.1%

(1) and (2) Source: Inflation Rates, Central Bank of Jordan

(3) Source: Social Security

Table 2 Expenses Assumptions

Expenses Assumptions	
Raw Materials and Packaging from Total Revenues	%15
Utilities Expenses from Total Revenues	%15
Maintenance Expenses from Total Revenues	% 2
Depreciation Expenses from Total Revenues	%1
Insurance Expenses from Total Assets Value	%0.75
Marketing Expenses from Total Revenues	%0.01

Table 3 Income Tax Assumptions

Income Tax Assumptions	Value
(1) Average Income Tax in Jordan	20%
(2) Income Tax Deduction	60%
Income Tax after Deduction	8%
(3) Compulsary Reserve Percentage	10%
Other Assumptions	Value
(1) Annual Monthly Salaries have been calculated after multiplying monthly salaries by:	16

Risk Premium	
(1) Risk Free Rate of Return	6.50%
(2) Return to Debt Maturity	9.48%
(3) Market Risk Premium	10.12%
Income Tax Rate	8%

(4) Beta	0.89
Growth Rate	4.00%

(1) Source :Damodaran's Country Default Spreads and Risk Premiums Report

(2) Source :Central Bank of Jordan

(3) Source :Damodaran's Country Default Spreads and Risk Premiums Report

(4) Source :Damodoran Beta By Sector, , pages.stern.nyu.edu

Table4 : Weighted Average Cost of Capital

Weighted Average Cost of Capital	
Average Return on Risk Free Investment	%6.50
Return to Debt Maturity	%9.48
Market Risk Premuim	%10.12
Income Tax Rate	%8
Bets	0.89
Equity	626,669
Loans Value	940,004
Loans	
Cost of Borrowing before Tax	%9.48
Cost of Borrowing After Tax	%8.72
Loans Value	940,004
Loans Percentage	%60
Equity	
Cost of Equity	%15.5
Equity Value	626,669
Equety Percentage	%40
Gross	
Project Value	1,566,673
Weighted Average Cost of Capital	%11.44

Capital Expenditures

The estimated cost of the project is 1,566,673 JD and it covers land costs, construction works, machinery and equipment, furniture, pre-operating expenses and working capital. The following tables summarize the details of these expenses:

Table 5 Land Capital Expenditure

Land	(Jordan Dinar/Meters Square) Cost	Area (m2)	Cost
------	-----------------------------------	-----------	------

Required Land	100	5,00	500,000
Gross Cost			500,000

Table 6 Construction Work Capital Expenditure

Construction Works	Cost (JOD per Squared)	Area	Gross
Construction Works	400	1,500	600,000
Design and blueprints	7	1,500	10,500
Excavation	5	1,500	7,500
Paving	12	1,000	12,000
Soil Test	200	1	200
Other Works	10	7,000	70,000
Total			700,200

Table 7 machinery and equipments Work Capital Expenditure

Machinery and equipments	No.	Cost (JOD per unit)	Gross cost
Fire fighting equipment	4	500	2,000
Central air conditioner	1	40,000	40,000
Kitchen	1	20,000	20,000
Sound system	2	2,000	4,000
Gross total			66,000

Table 8 Furniture and furnishings Work Capital Expenditure

Furniture	No.	Cost (JOD per unit)	Gross cost
Tables	100	100	10,000
chairs	800	70	56,000
Tables and chairs accessories	900	10	9,000
Snacks and drinks accessories	10	1,000	10,000
Carpets	7	1,500	10,500
Gross total			95,500

Table : 9 Pre Operating Expenses

Consist of a set of expenses that are expended before the start of the project and before achieving any revenue. Government fees, licenses, marketing expenses, training and transportation expenses are estimated as follows:

Pre-operating expenses	Estimated cost (JD)
Governmental fees	1,500
Transportation	1,500
Marketing	1,500
Training	2,500
Total	7,000

The initial working capital reflects the project's amounts needed to cover all the expenses during operation until the project starts generating income, the following table shows the components of the initial working capital:

Table10 Working Capital

Working Capital	No. of Months	%	Estimated Cost (JD)
Operating expenses	3	25%	27,286
General and administrative expenses	3	25%	3,694
Marketing expenses	3	25%	8
Indirect Salaries	3	25%	24,560
Total			55,548

Table 11 Expenses Summary

Capital expenditure summary	Cost (JD)	Contingency	Cost (JD)	%
Land	500,000	10%	550,000	%35.1
Construction works	700,200	10%	770,220	%49.2
Machinery & Equipment	66,000	10%	72,600	%4.6
Furniture	95,500	10%	105,050	%6.7
Vehicles	7,000	10%	7,700	%0.5
Pre-Operating Expenses	55,548	10%	61,103	%3.9
Working capital	1,424,248		1,566,673	100%

Sources of Funding

The financing structure of the project consists of loans and Equity. The investment cost of this project is estimated at (1,566,673) JD, where 60% of the project will be financed through loans (940,004) JD, and the remaining (40%) through (Equity) with (626,669) JD. The following table summarizes the general structure of the required financing:

Table 12 Sources of Funding

Funding Sources	Amount	Percentage
Equity (self financing)	626,669	40%
Loans	940,004	60%
Total	1,566,673	100%
Use of Fund:	Value	Ratio
Capital Expenditures	1,497,870	95.61%
Pre-Operating Expenses	7,700	49.%
Working Capital	61,103	3.90%
Total	1,566,673	100%

Operating Expenses

The following table summarizes the expected operating expenses for the proposed project (2018-2027):

Table 13 Operating Expenses

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Utilities from Revenues	45,101	54,121	78,382	89,580	109,175	121,306	141,990	154,898	177,915	191,601
Maintenance from Revenues	45,101	54,121	78,382	89,580	109,175	121,306	141,990	154,898	177,915	191,601
Disposables from Revenues	6,013	7,216	10,451	11,944	14,557	16,174	18,932	20,653	23,722	25,547
Direct Salaries	3,007	3,608	5,225	5,972	7,278	8,087	9,466	10,327	11,861	12,773
Others	9,922	11,907	17,244	19,707	24,019	26,687	31,238	34,078	39,141	42,152
Total	109,144	130,973	189,685	216,782	264,204	293,560	343,615	374,853	430,554	463,674

General and Administrative Expenses

The following table summarizes the expected general and administrative expenses for the proposed project (2018-2027):

Table 14 General and Administrative Expenses

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Telecom	600	618	637	656	675	696	716	738	760	783
Hospitality	200	206	212	219	225	232	239	246	253	261
Stationary and Printing	200	206	212	219	225	232	239	246	253	261
Transportation	200	206	212	219	225	232	239	246	253	261
Training	1,000	1,030	1,061	1,093	1,126	1,159	1,194	1,230	1,267	1,305
Insurance	11,234	11,571	11,918	12,276	12,644	13,023	13,414	13,816	14,231	14,658
Miscellaneous	1,343	1,384	1,425	1,468	1,512	1,557	1,604	1,652	1,702	1,753
Total	14,777	15,221	15,677	16,148	16,632	17,131	17,646	18,174	18,720	19,281

Marketing expenses

Table 15 Marketing Expenses

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Marketing Expenses	30	36	52	60	73	81	95	103	119	128

Human Resources

The total annual salaries and monthly wages has been estimated on 16 months for the purpose of considering annual increments on salaries as well as payments related to social security and health insurance,... etc.

The following table summerizes the expected annual salaries and wages, considering annual increment on salaries as per the income statement:

Table : 16 Expected Annual Salaries and Wges (2018-2027)

Job title	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Indirect Employees										
Hall manager	900	937	975	1,015	1,057	1,100	1,145	1,192	1,241	1,292
Reservations officer	400	416	433	451	470	489	509	530	552	574
Chef	800	833	867	902	939	978	1,018	1,060	1,103	1,149
Chef Assistant	400	416	433	451	470	489	509	530	552	574
Waiter	210	219	228	237	247	257	267	278	290	301
Cleaning labours	190	198	206	214	223	232	242	252	262	273

Depreciations

The following tables illustrate cost of Capex and Depreciation rates:

Table 17 Capex and Depreciation Expenses

Capex Cost and Annual Depreciation Rates	Cost (JOD)	Depreciation Rate	Annual Additions Percentage
Land	550,000	%0.0	%0.0
Construction Works	770,220	%5.0	%0.0
Machinaries	72,600	%10.0	%2.0
Furniture	105,050	%10.0	%5.0
Vehicles	0	%10.0	%0.0
Gross total	1,497,870		

Table 18 Depreciations and Additions on Construction Works

Capex, Annual Additions and Depreciations	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Total Fixed Assets	1,497,870	1,504,575	1,511,571	1,518,872	1,526,494	1,534,450	1,542,756	1,551,430	1,560,489	1,569,951
Total Depreciation Expenses	56,276	56,946	57,646	58,376	59,138	59,934	60,765	61,632	62,538	63,484
Total Accumulated Depreciation	56,276	113,222	170,869	229,245	288,383	348,317	409,082	470,714	533,252	596,736
Total Additions	0	6,705	6,996	7,302	7,621	7,956	8,307	8,674	9,059	9,462
Total Net Book Values	1,441,594	1,391,352	1,340,702	1,289,627	1,238,110	1,186,133	1,133,675	1,080,717	1,027,238	973,215

Loan

The table below summarizes all details related to the loan such as annual installments and payment methods for the remaining amount of the loan for each year of the project.

Table : 19 Loan Details

Loan Value	940,004
Annual Interest Rate	9.48%
Loans Period	5
Loan Starts at year:	2018
Annual Payment	244,685
Number of Payments	5

The following table shows the loan payments

Year	Annual Payment	Interest	Capital	Loan Remaining Value
2018				940,004
2019	244,685	89,112	155,573	784,431
2020	244,685	74,364	170,321	614,110
2021	244,685	58,218	186,468	427,642
2022	244,685	40,540	204,145	223,498
2023	244,685	21,188	223,498	0

Income Statement

All financial information and analysis of the financial expenses of the project shall be the estimated income statement for the years (2018-2027) as shown in the following table:

Table 20 Income Statement

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Revenues										
Sales Revenues	300,672	360,806	522,547	597,197	727,834	808,704	946,598	1,032,653	1,186,099	1,277,338
Gross Operating Revenues	300,672	360,806	522,547	597,197	727,834	808,704	946,598	1,032,653	1,186,099	1,277,338
Operating Expenses	(109,144)	(130,973)	(189,685)	(216,782)	(264,204)	(293,560)	(343,615)	(374,853)	(430,554)	(463,674)
Gross Operating Profit	191,528	229,834	332,863	380,414	463,630	515,144	602,983	657,800	755,545	813,664
<i>Gross Profit Percentage</i>	<i>%64</i>	<i>%64</i>	<i>%64</i>	<i>%64</i>	<i>%64</i>	<i>%64</i>	<i>%64</i>	<i>%64</i>	<i>%64</i>	<i>%64</i>
Salaries and Benefits	(98,240)	(102,268)	(106,461)	(110,826)	(115,370)	(120,100)	(125,024)	(130,150)	(135,486)	(141,041)
General and Administraive	(14,777)	(15,221)	(15,677)	(16,148)	(16,632)	(17,131)	(17,645)	(18,174)	(18,720)	(19,281)
Markeing Expenses	(30)	(36)	(52)	(60)	(73)	(81)	(95)	(103)	(119)	(128)
Pre Operating Expenses	(7,700)									
Gross Indirect Expenses	(120,747)	(117,525)	(122,190)	(127,033)	(132,074)	(137,312)	(142,763)	(148,427)	(154,324)	(160,450)
Income before Interest,	70,781	112,309	210,672	253,381	331,556	377,833	460,220	509,372	601,221	653,214
Fixed Assets Depreciations	(56,276)	(56,946)	(57,646)	(58,376)	(59,138)	(59,934)	(60,765)	(61,632)	(62,538)	(63,484)
Income before Tax and	14,505	55,363	153,026	195,005	272,417	317,899	399,455	447,740	538,683	589,730
Bank Interests	(89,112)	(74,364)	(58,218)	(40,540)	(21,188)	(0)	(0)	(0)	(0)	(0)
Income Before Tax	(74,608)	(19,001)	94,808	154,465	251,230	317,899	399,455	447,740	538,683	589,730
Income Tax	0	0	(6,045)	(12,357)	(20,098)	(25,432)	(31,956)	(35,819)	(43,095)	(47,178)

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Net Profit	(74,608)	(19,001)	88,763	142,107	231,131	292,467	367,499	411,921	495,588	542,552
<i>Net Profit Percentage</i>	%25-	%5-	%17	%24	%32	%36	%39	%40	%42	%42
Compulsory Reserves	0	0	(8,876)	(14,211)	(23,113)	(29,247)	(36,750)	(41,192)	(49,559)	(54,255)
Retained Earnings	(74,608)	(93,609)	(13,722)	114,174	322,193	585,413	916,162	1,286,891	1,732,920	2,221,217

Expected Cashflows Statement

The table below summarizes project cash flows statement, where net cash flows are positive during all years except the first two years of project and that indicate to needs the loan as below:

table 21 Expected cash flows

	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Cash Inflows from Operating Activities										
Net Profit	(74,608)	(19,001)	88,763	142,107	231,131	292,467	367,499	411,921	495,588	542,552
Bank Interests	89,112	74,364	58,218	40,540	21,188	0	0	0	0	0
Depreciation	56,276	56,946	57,646	58,376	59,138	59,934	60,765	61,632	62,538	63,484
Total Operating Cashflows before Additions to Working Capital	70,781	112,309	204,627	241,024	311,457	352,401	428,263	473,553	558,126	606,036
Inventory (Increase/Decrease)	(3,758)	(752)	(2,022)	(933)	(1,633)	(1,011)	(1,724)	(1,076)	(1,918)	(1,140)
Accounts Receivables (Increase/Decrease)	10,674	2,135	5,742	2,650	4,638	2,871	4,895	3,055	5,447	3,239
Working Capital (Increase/Decrease)	6,915	1,383	3,720	1,717	3,005	1,860	3,172	1,979	3,529	2,098
Net Cashflows from Operating Activities	77,696	113,692	208,347	242,741	314,462	354,261	431,435	475,532	561,656	608,134
Cashflows from Investments Activities										
Fixed Assets (Procurement)	(1,497,870)	(6,705)	(6,996)	(7,302)	(7,621)	(7,956)	(8,307)	(8,674)	(9,059)	(9,462)
Net Cashflows from Investments	(1,497,870)	(6,705)	(6,996)	(7,302)	(7,621)	(7,956)	(8,307)	(8,674)	(9,059)	(9,462)

	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Activities										
Cashflows from Financing Activities										
Capital	626,669									
Loan Amortization	(155,573)	(170,321)	(186,468)	(204,145)	(223,498)	0	0	0	0	0
Bank Interest Rate	(89,112)	(74,364)	(58,218)	(40,540)	(21,188)	(0)	(0)	(0)	(0)	(0)
Loans	940,004	0	0	0	0	0	0	0	0	0
Net Cashflows from Financing Activities	1,321,988	(244,685)	(244,685)	(244,685)	(244,685)	0	0	0	0	0
Net (Increase/Decrease) in Cash	(98,186)	(137,698)	(43,334)	(9,246)	62,155	346,305	423,128	466,858	552,597	598,673
Cashflows at the Beginning of Period	0	(98,186)	(235,884)	(279,218)	(288,464)	(226,308)	119,996	543,124	1,009,983	1,562,580
Cashflows at the End of Period	(98,186)	(235,884)	(279,218)	(288,464)	(226,308)	119,996	543,124	1,009,983	1,562,580	2,161,252

Expected Balance Sheet

The balance sheet is one of the main statements which the project depends on, as it reflects the financial position of the entity and is usually estimated on the last day of the financial year.

All financial information and analysis of the project shall be the estimated for the years (2018-2027) as shown in the table below:

Table 22 Expected Balance Sheet

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Assets										
Current Assets										
Cash	(98,186)	(235,884)	(279,218)	(288,464)	(226,308)	119,996	543,124	1,009,983	1,562,580	2,161,252
Inventory	3,758	4,510	6,532	7,465	9,098	10,109	11,832	12,908	14,826	15,967
Accounts Receivable	(94,428)	(231,374)	(272,686)	(280,999)	(217,211)	130,105	554,957	1,022,891	1,577,406	2,177,219
Total current Assets										
Non Current Assets	1,441,594	1,391,352	1,340,702	1,289,627	1,238,110	1,186,133	1,133,675	1,080,717	1,027,238	973,215
Fixed Assets (net)	1,441,594	1,391,352	1,340,702	1,289,627	1,238,110	1,186,133	1,133,675	1,080,717	1,027,238	973,215
Total Non Current Assets	1,347,166	1,159,978	1,068,016	1,008,629	1,020,900	1,316,238	1,688,632	2,103,608	2,604,643	3,150,434
Total Assets										
Liabilities										
Current Liabilities										
Paybles	170,321	186,468	204,145	223,498	(0)	(0)	(0)	(0)	(0)	0
Remaining amount of Loan	180,995	199,276	222,695	244,698	25,838	28,709	33,604	36,659	42,107	45,345

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Total current Liabilities										
Non Current Liabilities	614,110	427,642	223,498	0	0	0	0	0	0	0
Long Terms Loans	614,110	427,642	223,498	0	0	0	0	0	0	0
Total Long Term Liabilities	795,105	626,918	446,193	244,698	25,838	28,709	33,604	36,659	42,107	45,345
Total Liabilities										
Owners Equity	626,669	626,669	626,669	626,669	626,669	626,669	626,669	626,669	626,669	626,669
Shareholders Contributions	0	0	8,876	23,087	46,200	75,447	112,197	153,389	202,948	257,203
Statutory Reseve	(74,608)	(93,609)	(13,722)	114,174	322,193	585,413	916,162	1,286,891	1,732,920	2,221,217
Retained Profits	552,061	533,060	621,823	763,931	995,062	1,287,529	1,655,027	2,066,948	2,562,537	3,105,089
Total Equity	1,347,166	1,159,978	1,068,016	1,008,629	1,020,900	1,316,238	1,688,632	2,103,608	2,604,643	3,150,434

Feasibility Indicators

There are more than one method to calculate the discounted cash flow statement. However, in this study, WACC was used to calculate the discounted cash flows and net investment value. The Company's financing structure is based on equity and loans, therefore the discounted rate should be adjusted according to WACC based on the following assumptions, the following table illustrates the net expected free cash flow of the project:

Table 23 Free Net Cash flows Table

Net Cashflows	Pre- Operating	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	Final value
Net Free Cashflows	(1,566,673)	85,396	106,988	201,351	235,439	306,841	346,305	423,128	466,858	552,597	598,673	8,373,406
Discount Factor	1.00	0.81	0.72	0.65	0.58	0.52	0.47	0.42	0.38	0.34	0.30	0.30
Net Present Value for Cash Flows	(1,566,673)	68,768	77,314	130,574	137,012	160,239	162,289	177,942	176,184	187,140	181,938	2,544,692

Table below (42) illustrates payback period for the project, as it is one of the indicators which investors care about before taking the investment decision as they need to know when the project will return the invested amount of money. Payback period definition is the total required period so that the project generates total money equal to the total invested capital expenditure, as investor is always looking to return the full invested amount of money at the earliest possible.

Table 24 Payback Period

Payback Period	Pre- Operating	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Net Free Cashflows	(1,566,673)	85,396	106,988	201,351	235,439	306,841	346,305	423,128	466,858	552,597	598,673
Project Value Returned	1,566,673	1,481,277	1,374,289	1,172,938	937,499	630,658	284,353	(138,775)	(605,633)	(1,158,230)	(1,756,903)
Payback Period (Year)	6	1	1	1	1	1	1	0	0	0	0

Table 25 Financial Analysis Results

indicator	Value
Weighted Average Cost of Capital (WACC)	11.44%
Net Present Value for Cashflows	2,437,418
Payback Period	6
Internal Rate of Return	24.86%

Sensitivity Analysis

Sensitivity analysis is conducted to investigate the effects of changes in significant inputs of the financial analysis. This includes changes in revenues, total investment costs, and operating costs.

Table 26 Sensitivity Analysis

Sensitivity Analysis	Internal Rate of Return	Payback Period	WACC
Original Scenario	%24.86	6	11.44%
Revenues declined by 10%	%22.63	7	11.44%
Operating Expenses Increased by 10%	%23.61	7	11.44%

Conclusions and Recommendations

Based on the profitability analysis and considering that project internal rate of return is higher than WACC, it is concluded that the project is feasible as the net present value for the project is positive 2,437,418 Jordan Dinars considering that the project provides 21 Job Opportunities for the governorate residents